

Disclosure Statement at 31 December 2024

This disclosure statement is prepared in accordance with the requirements under the Insurance (Valuation and Capital) Rules and the draft Insurance (Public Disclosure) Rules.

1 Company profile

(a) Authorized insurer's name

Berkshire Hathaway Specialty Insurance Company
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2 Financial position

(a) Balance sheet determined under the Insurance (Valuation and Capital) Rules

(Unit: in HKD thousands)	As at 31 December 2024
	Total
Total assets	3,850,325
Cash and deposits	268,904
Debt securities	1,148,467
Equities (including portfolio investments)	0
Derivative financial instruments	0
Properties	0
Loans and advances	0
Reverse repurchase agreement	0
Other financial assets	753,371
Policyholder's account assets in respect of unit linked products or retirement scheme	0
Reinsurance assets	1,586,050
Tax assets	4,325
Other assets	89,208
Total liabilities	2,615,955
Insurance liabilities	2,060,859
Reinsurance liabilities	0
Repurchase agreement	0
Derivative financial instruments	0
Other financial liabilities	466,998
Tax liabilities	4,325
Other liabilities	83,773
Net assets	1,234,370

3 Insurance liabilities

(a) Total insurance liabilities determined under the Insurance (Valuation and Capital) Rules

Insurance Liabilities of Long Term Business

(Unit: in HKD thousands)	As at 31 December 2024						
	Hong Kong branches of non-HK insurers: all long term business of Hong Kong branches, other than fund of reinsurance business with offshore risk if established					Applicable to Hong Kong branches of non-HK insurers: reinsurance business with offshore risk if fund of insurance business with offshore risk is established	Total long term business
	Participating business	Linked long term (Class C)	Retirement scheme category I (Class G)	Retirement scheme category II (Class H)	Other long term business		
Total insurance liabilities (gross of reinsurance)							
Of which: long term insurance liabilities							
Outstanding claims							
Current estimate ¹							
Margin over current estimate							
Prepaid premiums							
Other long term insurance liabilities							
Of which: general insurance liabilities							
Reinsurance assets							
Reinsurance liabilities							

¹ Excludes outstanding claims, prepaid premiums and other long term insurance liabilities which are disclosed separately.

Insurance Liabilities of General Business

(Unit: in HKD thousands)	As at 31 December 2024									
	Direct insurance							Reinsurance		Total general business
	Accident and health	Motor vehicle	Marine, aviation, and transport	Property damage	Employees' compensation	General liability	Pecuniary loss	Proportional	Non-proportional	
Total general insurance liabilities (<u>gross</u> of reinsurance)										2,060,859
Total general insurance liabilities excluding other general insurance liabilities (<u>gross</u> of reinsurance)	13,367	20,906	276	76,293	1,407,357	319,831	16,483	99,541	106,805	2,060,859
Outstanding claims liabilities	11,600	26,377	223	44,516	988,089	248,509	12,408	79,408	73,935	1,485,065
Premium liabilities	1,506	-6,301	47	30,228	375,188	60,988	3,550	17,567	29,641	512,414
Margin over current estimate for outstanding claims liabilities	227	649	5	866	30,850	8,162	407	1,979	2,408	45,553
Margin over current estimate for premium liabilities	34	181	1	683	13,230	2,172	118	587	821	17,827
Total general insurance liabilities excluding other general insurance liabilities (<u>net</u> of reinsurance)	2,971	5,098	63	16,914	324,924	74,582	3,843	22,658	23,756	474,809

4 Capital adequacy

- (a) Prescribed capital amount at total level and risk capital amount (“RCA”) by sub-risk, determined in accordance with the Insurance (Valuation and Capital) Rules (without applying the transitional arrangement under Part 7 of the Insurance (Valuation and Capital) Rules)

Prescribed Capital Amount

(Unit: in HKD thousands)	As at 31 December 2024
Market risk (diversified RCA)	19,449
Interest rate risk RCA	17,367
Credit spread risk RCA	500
Equity risk RCA	0
Property risk RCA	0
Currency risk RCA	4,896
Diversification benefits within market risk	-3,314
Life Insurance Risk (diversified RCA)	0
Mortality risk RCA	0
Longevity risk RCA	0
Life catastrophe risk RCA	0
Morbidity risk RCA	0
Expense risk RCA	0
Lapse risk RCA	0
Diversification benefits within life insurance risk	0
General Insurance Risk (diversified RCA)	119,784
Reserve and premium risk RCA	108,421
Natural catastrophe risk RCA	16,354
Man-made non-systemic catastrophe risk RCA	25,841
Man-made systemic catastrophe risk RCA	0
Mortgage insurance risk RCA	0
Diversification benefits within general insurance risk	-30,832
Counterparty default and other risk RCA	30,603
Diversification benefits among risk modules	-32,147
Operational risk RCA	41,306
Adjustment for loss absorbing capacity cap	0
Adjustment for tax effect	0
Any other items which the IA may specify to adjust	0
Prescribed capital amount	178,995

- (b) Composition of capital base determined in accordance with the Insurance (Valuation and Capital) Rules

Capital Base

(Unit: in HKD thousands)	As at 31 December 2024
Unlimited Tier 1 capital	1,234,370
Limited Tier 1 capital	0
Tier 2 capital	0
Capital base	1,234,370

- (c) Ratio of capital base to prescribed capital amount

	As at 31 December 2024
Ratio of capital base to prescribed capital amount	<i>690%</i>

5 Statement of Compliance

- (i) I am satisfied with the completeness, accuracy and consistency of the information disclosed in this disclosure statement in respect of Berkshire Hathaway Specialty Insurance Company;
- (ii) I am satisfied that the information in this disclosure statement is prepared in accordance with the Insurance (Valuation and Capital) Rules and the draft Insurance (Public Disclosure) Rules (subject to any applicable variation or relaxation);
- (iii) The information disclosed in this disclosure statement can be reconciled with the audited specified annual forms of Berkshire Hathaway Specialty Insurance Company's annual returns for the financial year to which this disclosure statement relates, as submitted under rule 4 of the Insurance (Submission of Statements, Reports and Information) Rules; and
- (iv) I am satisfied that Berkshire Hathaway Specialty Insurance Company has complied with all capital requirements that apply to it under the Insurance (Valuation and Capital) Rules, during the financial year to which this disclosure statement relates.

Name:	Marc Breuil
Position:	Chief Executive Officer
Company Name:	Berkshire Hathaway Specialty Insurance Company